

**COMMUNITY FIRST FUND AND
SUBSIDIARIES**

Consolidated Financial Statements

Year Ended June 30, 2024

COMMUNITY FIRST FUND AND SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED JUNE 30, 2024

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INDEPENDENT AUDITORS' REPORT

Board of Directors
Community First Fund and Subsidiaries
Lancaster, Pennsylvania

Report on the Financial Statements

Opinion

We have audited the accompanying consolidated statement of financial position of Community First Fund (a non-profit organization) and Subsidiaries (collectively, "the Organization") as of June 30, 2024 and the related consolidated statements of activities, functional expenses and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Community First Fund and Subsidiaries as of June 30, 2024 and the changes in their net assets and their cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Community First Fund and Subsidiaries and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Responsibilities of Management for the Financial Statements (Continued)

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Community First Fund and Subsidiaries' ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Community First Fund and Subsidiaries' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Community First Fund and Subsidiaries' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Board of Directors
Community First Fund and Subsidiaries
Lancaster, Pennsylvania

Report on Summarized Comparative Information

We have previously audited Community First Fund and Subsidiaries' 2023 consolidated financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated September 22, 2023. In our opinion, the summarized comparative information presented herein as of and for the year ended June 30, 2023 is consistent, in all material respects, with the audited financial statements from which it has been derived.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated October 17, 2024 on our consideration of Community First Fund and Subsidiaries' internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Community First Fund and Subsidiaries' internal control over financial reporting and compliance.

Bertz, Hess & Co., LLP

BERTZ, HESS & CO., LLP
Lancaster, Pennsylvania
October 17, 2024

COMMUNITY FIRST FUND AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
JUNE 30, 2024 AND 2023

ASSETS	2024	2023
CURRENT ASSETS		
Cash and cash equivalents	\$ 32,472,674	\$ 34,300,390
Grants receivable	667,444	1,265,673
Contract receivables	577,357	1,001,861
Loans receivable, net	20,536,498	28,063,381
Interest and loan fees receivable	1,342,540	951,626
Prepaid expenses	235,218	220,304
Investments	4,390,601	17,202,571
Total Current Assets	60,222,332	83,005,806
PROPERTY AND EQUIPMENT, At cost		
Building	6,384,594	6,471,859
Building improvements	4,135,133	1,209,688
Equipment	872,218	637,159
Total Property and Equipment	11,391,945	8,318,706
Less accumulated depreciation	(1,696,790)	(1,430,905)
Property and Equipment, Net	9,695,155	6,887,801
OTHER ASSETS		
Finance lease right-of-use asset	12,217	19,198
Operating lease right-of-use asset	276,131	215,516
Loans receivable, net of loan loss reserve of \$11,187,016 in 2024 and \$11,002,942 in 2023	94,621,828	60,057,149
Total Other Assets	94,910,176	60,291,863
TOTAL ASSETS	\$ 164,827,663	\$ 150,185,470

See notes to financial statements.

LIABILITIES AND NET ASSETS	2024	2023
CURRENT LIABILITIES		
Notes payable	\$ 12,000,312	\$ 6,495,193
Equity equivalent investment	4,153,534	1,201,676
Accounts payable	517,111	425,672
Deferred revenue	63,569	7,709,903
Finance lease liability	7,104	6,903
Operating lease liability	128,521	68,985
Accrued expenses and payables	959,905	1,007,232
Grant payable	1,000,000	1,575,000
Accrued interest	274,298	230,582
Accrued payroll and benefits	203,652	272,519
Total Current Liabilities	19,308,006	18,993,665
LONG-TERM LIABILITIES		
Grant payable	862,501	3,150,000
Notes payable, buildings and equipment	967,812	1,005,770
Finance lease liability	5,464	12,569
Operating lease liability	154,899	155,585
Notes payable, investments	43,802,122	38,593,596
Bond guarantee program	6,654,083	6,888,210
Equity equivalent investment	22,765,621	18,768,317
Total Long-Term Liabilities	75,212,502	68,574,047
TOTAL LIABILITIES	94,520,508	87,567,712
NET ASSETS		
Without donor restrictions	66,653,509	58,950,571
With donor restrictions	3,653,646	3,667,187
TOTAL NET ASSETS	70,307,155	62,617,758
TOTAL LIABILITIES AND NET ASSETS	\$ 164,827,663	\$ 150,185,470

COMMUNITY FIRST FUND AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF ACTIVITIES
YEAR ENDED JUNE 30, 2024 WITH SUMMARIZED COMPARATIVE TOTALS FOR JUNE 30, 2023

	Without Donor Restrictions	With Donor Restrictions	2024 Total	2023 Total
SUPPORT AND REVENUE				
Contributions				
Individuals	\$ 54,548	\$ -	\$ 54,548	\$ 65,345
Business	105,750	-	105,750	53,500
Foundations and associations	1,537,475	-	1,537,475	3,761,052
Government				
Contract	11,537,595	-	11,537,595	8,239,538
Interest income	8,726,924	-	8,726,924	5,564,097
Loan and service fees	848,910	-	848,910	372,384
NMTC revenue	1,240,219	-	1,240,219	1,354,730
Miscellaneous	<u>670,993</u>	<u>-</u>	<u>670,993</u>	<u>414,885</u>
Total Support and Revenue	24,722,414	-	24,722,414	19,825,531
EXPENSES				
Program services	12,602,721	-	12,602,721	11,434,849
General and administrative	3,431,659	-	3,431,659	2,949,053
Fundraising	<u>998,637</u>	<u>-</u>	<u>998,637</u>	<u>878,075</u>
Total Expenses	17,033,017	-	17,033,017	15,261,977
CHANGE IN NET ASSETS	\$ 7,689,397	\$ -	\$ 7,689,397	\$ 4,563,554
NET ASSETS, BEGINNING	\$ 58,950,571	\$ 3,667,187	\$ 62,617,758	\$ 58,054,204
Change in Net Assets	7,689,397	-	7,689,397	4,563,554
Net assets released from restrictions	<u>13,541</u>	<u>(13,541)</u>	<u>-</u>	<u>-</u>
NET ASSETS, ENDING	\$ 66,653,509	\$ 3,653,646	\$ 70,307,155	\$ 62,617,758

See notes to financial statements.

COMMUNITY FIRST FUND AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FUNCTIONAL EXPENSES
YEAR ENDED JUNE 30, 2024 WITH SUMMARIZED COMPARATIVE TOTALS FOR JUNE 30, 2023

FUNCTIONAL EXPENSES	Program Services	General and Administrative	Fundraising	2024 Total	2023 Total
Salaries	\$ 6,476,198	\$ 422,231	\$ 574,682	\$ 7,473,111	\$ 6,279,363
Payroll taxes	390,910	25,798	35,106	451,814	416,911
Employee benefits	1,134,717	74,887	101,904	1,311,508	1,306,473
Temporary help	-	-	-	-	209,210
Insurance	51,044	3,369	4,584	58,997	60,121
Rent	163,526	10,792	14,684	189,002	190,766
Utilities	90,620	5,980	8,138	104,738	109,181
Real estate taxes	58,622	3,869	5,265	67,756	71,875
Telephone	116,688	7,701	10,479	134,868	113,098
Repairs and maintenance	186,477	12,307	16,747	215,531	148,221
Public relations	77,321	30,928	46,392	154,641	210,864
Seminars and conventions	97,452	38,981	58,471	194,904	105,490
Travel	214,000	14,123	19,218	247,341	268,353
Dues and subscriptions	51,298	3,385	4,607	59,290	46,173
Office supplies and expense	574,006	37,882	51,549	663,437	436,579
Postage	-	4,938	14,812	19,750	17,207
Printing	17,995	7,198	10,797	35,990	30,523
Legal, audit, and professional	278,604	665,817	-	944,421	736,749
Filing fees	114,373	-	-	114,373	245,871
Loan loss provision	688,329	-	-	688,329	1,208,068
Grants to others	1,211,117	-	-	1,211,117	644,925
Interest	-	2,045,891	-	2,045,891	1,796,724
Bank fees	87,964	-	-	87,964	144,045
Miscellaneous	285,376	-	-	285,376	261,394
Depreciation	236,084	15,582	21,202	272,868	203,793
Total Functional Expenses	\$ 12,602,721	\$ 3,431,659	\$ 998,637	\$ 17,033,017	\$ 15,261,977

See notes to financial statements.

COMMUNITY FIRST FUND AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
YEARS ENDED JUNE 30, 2024 AND 2023

	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES		
Increase in net assets	\$ 7,689,397	\$ 4,563,554
Adjustments to reconcile change in net assets to net cash used by operating activities		
Depreciation	272,868	203,793
Investment gains	(115,482)	(17,205)
Loss on sale of other real estate owned	-	49,725
Loan loss reserve	184,074	1,250,989
(Increase) decrease in operating assets		
Grants receivable	598,229	(100,550)
Contract receivables	424,504	(861,527)
Loans receivable	(27,221,870)	(18,778,038)
Interest and loan fees receivable	(390,914)	120,834
Prepaid expenses	(14,914)	60,019
Prepaid leases	(8,669)	9,328
Increase (decrease) in operating liabilities		
Accounts payable	91,439	(196,058)
Deferred revenue	(7,646,334)	2,528,478
Accrued expenses	(47,327)	352,692
Accrued interest	43,716	(75,623)
Grant payable	(2,862,499)	336,476
Accrued payroll and benefits	(68,867)	(44,150)
Net Cash Used by Operating Activities	(29,072,649)	(10,597,263)
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sales of other real estate owned	-	308,197
Purchases of investments	(5,072,548)	(16,327,965)
Proceeds from sales of investments	18,000,000	-
Additions to property and equipment	(3,073,239)	(983,578)
Net Cash Provided/(Used) by Investing Activities	9,854,213	(17,003,346)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from notes payable	13,327,732	2,226,886
Proceeds from equity equivalent investments	7,000,000	1,000,000
Principal payments on equity equivalent investments	(50,838)	(350,665)
Principal payments on notes payable	(2,664,410)	(1,922,767)
Principal payments on Bond guarantee program	(221,764)	(217,264)
Net Cash Provided by Financing Activities	17,390,720	736,190
NET DECREASE IN CASH AND CASH EQUIVALENTS	(1,827,716)	(26,864,419)
Cash and Cash Equivalents at Beginning of Year	34,300,390	61,164,809
Cash and Cash Equivalents at End of Year	\$ 32,472,674	\$ 34,300,390

See notes to financial statements.

COMMUNITY FIRST FUND AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
YEARS ENDED JUNE 30, 2024 AND 2023

	2024	2023
SCHEDULE OF SUPPLEMENTAL CASH FLOW INFORMATION		
Cash paid during the year for interest	\$ 2,002,175	\$ 1,872,347
Notes payable refinanced/rolled over	\$ 9,570,000	\$ 2,073,000

See notes to financial statements.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 1: ORGANIZATION DATA

Community First Fund (the "Organization") was incorporated on May 5, 1992 under the Pennsylvania non-profit corporation law of 1988 which promotes community and economic development. It provides affordable loans to small businesses, developers of affordable housing, community-based organizations, women, people of color and other entities as well as business counseling throughout central and eastern Pennsylvania. The Organization is a non-stock issuing entity and is controlled by its Board of Directors.

In August 2005, the Organization established Community First Capital Corp. (CFCC), a separate organization, tax-exempt under section 501(c)(3) of the Internal Revenue Service Code. CFCC is organized for the purpose of making loans that will be guaranteed by the U.S. Small Business Administration and is regulated by the Pennsylvania Department of Banking. CFCC operates as a wholly-owned subsidiary of the Organization.

On July 1, 2018, Community First Fund (CFF) entered into a management fee agreement with its wholly-owned subsidiary Community First Capital Corp. (CFCC). The agreement calls for CFF to provide the following services: management in general; finance and accounting; liquidity and cash balances management; loan underwriting; loan servicing and portfolio management. In addition, CFF will also provide support services that include office space and administrative support.

CFCC maintains six offices in the Commonwealth of Pennsylvania. The Pennsylvania Department of Banking requires a minimum capitalization for any new office under an existing license. The capitalization requirement must be maintained as permanent capital which should not be distributed or purchased. The amount of this capitalization requirement is included under net assets without donor restrictions for a total of \$2,500,000 at June 30, 2024.

The Organization is certified as a Community Development Financial Institution (CDFI) by the U.S. Treasury Department. The Organization is also accredited by the Pennsylvania Department of Community and Economic Development.

Since 2005, the Organization has participated in the strenuous and nationally acclaimed CDFI Assessment Ratings process known as Aeris. In March 2024, the Organization received confirmation of its rating of "AA, Four Star, Policy Plus" under a multi-year rating program. The investment grade AA rating represents a confirmation of the Organization's continued financial strength. The "Four Star, Policy Plus" impact management rating is the highest rating that a CDFI can receive under the Aeris ratings system. A CDFI that receives the Policy plus rating demonstrates leadership in public policy change.

On December 1, 2021, the Organization was notified that renewal of its prospectus was approved by the Department of Banking and Securities for the Commonwealth of the State of Pennsylvania. This prospectus allows the Organization to promote private investment offerings (unsecured investments) to individuals who wish to make an impact in their communities. Individual investments under the prospectus cannot exceed \$5 million in the aggregate. The minimum investment allowable under the prospectus is \$1,000.

On July 1, 2020, the Organization merged with FINANTA, a Philadelphia based non-profit CDFI Loan Fund founded in 1996. FINANTA converted to a member owned nonprofit corporation and appointed the Organization as its sole member. By virtue of the Organization being the sole member of FINANTA, FINANTA is considered a subsidiary of the Organization.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 1: ORGANIZATION DATA (Continued)

On June 30, 2021, as part of the Organization's strategic plan, the National Credit Union Administration approved a federal credit union charter for Community First Fund Federal Credit Union ("CFFFCU"). CFFFCU operates as a separate corporate entity, is not considered a subsidiary or affiliate of the Organization and is excluded from the Organization's consolidated financial statements. Upon approval of the federal charter, the Organization entered into a grant agreement with CFFFCU to provide capital in support of the continued growth of CFFFCU. The grant, in the amount of \$7,300,000, was made possible by an unrestricted contribution received by the Organization during the year ended June 30, 2021. The grant was recognized by the Organization as Grant Expense in the year ended June 30, 2021, with a corresponding Grant Payable to CFFFCU as of that date. The grant is expected to be paid to CFFFCU over five years, with the final payment occurring in 2026. The Organization completed a Management Services Agreement with CFFFCU to provide further support.

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The consolidated financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America.

Comparative Financial Information

The financial statements include certain prior-year summarized comparative information in total but not by net asset class. Such information does not include sufficient detail to constitute a presentation in conformity with accounting principles generally accepted in the United States of America. Accordingly, such information should be read in conjunction with the Organization's financial statements for the year ended June 30, 2023, from which the summarized information was derived.

Principles of Consolidation

The consolidated financial statements of Community First Fund and Subsidiaries include the accounts of Community First Fund and its wholly owned subsidiaries Community First Capital Corp. and FINANTA. Investments in unconsolidated subsidiaries (the New Markets Tax Credit LLCs or "NMTC LLCs") are accounted for under the equity method (see Note 11). Community First Fund and its subsidiary entities are referred to collectively as the "Organization." All significant financial activity between Community First Fund and its wholly owned subsidiaries is eliminated in the preparation of the consolidated financial statements.

Basis of Presentation

The Organization's net assets and revenues, expenses, gains and losses (when applicable) are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net assets without donor restrictions are not subject to donor-imposed restrictions. Net assets without donor restrictions may be designated for specific purposes by action of the Board of Directors or may otherwise be limited by contractual agreements with outside parties.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Basis of Presentation (Continued)

Net assets with donor restrictions are subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires; that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource has been restricted has been fulfilled, or both.

Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the consolidated statements of cash flows, cash and cash equivalents are defined as demand deposits and all short-term investments with an original maturity date of three months or less.

Contract Receivables

The Organization records its contract receivable net of an allowance for collectable accounts. The Organization determines its allowance based on historical experience, an assessment of economic conditions, and a review of subsequent events. As of June 30, 2024 and 2023, no allowance was considered necessary. The composition of contract receivable as of June 30 was as follows:

	2024	2023
Due from CFFFCU	\$ 533,551	\$ 986,146
Other receivables	43,806	15,715
Total	\$ 577,357	\$ 1,001,861

Investments

The Organization holds an 8.33% share of the National Association for Latino Community Asset Builders' Acceso loan fund, which it accounts for as an equity method investment. The recognized balance for this investment at June 30, 2024 and 2023, was \$881,494 and \$838,706, respectively.

The Organization also holds shares of the Federal Home Loan Bank of Pittsburgh, which are recognized at cost. The recognized balance for this investment at June 30, 2024 and 2023, was \$54,600 and \$43,300, respectively.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Investments (Continued)

Effective May 2023, the Organization purchased 80,000 shares of preferred stock and 8,000 warrants for additional preferred stock with an exercise price of \$15.00 per share and an exercise period between January 1, 2027 and December 31, 2020 from Spring Garden Capital Group, LLC. The investment is valued at \$1,072,694 and \$1,000,000 as of June 30, 2024 and 2023, respectively.

The Organization held \$2,381,813 and \$15,320,565 in money market mutual funds as of June 30, 2024 and 2023, respectively.

Other Real Estate Owned

As of June 30, 2024 and 2023, the Organization held no other real estate owned. During the year ended June 30, 2024, two properties were sold in the year ended June 30, 2023 at a loss of approximately \$49,725.

Property and Equipment

Property and equipment is stated at cost or, if donated for use by the Organization, at the approximate fair value at the date of donation. Routine maintenance and repairs are expensed as incurred. Property and equipment is depreciated using the straight-line method over their estimated useful lives ranging from three to fifty years.

In February 2020, the Organization purchased the remaining two office condominiums at its Lancaster operations center. The Organization occupies floors three and four. The second floor is leased to outside parties. The Organization built out the southwest corner of the first floor during 2021 and 2022 and leases the space to CFFFCU.

Donor Restrictions

Contributions received are recorded as without donor restrictions or with donor restrictions, depending on the existence or nature of any donor restrictions.

When a donor restriction expires (that is, when a stipulated time restriction ends or a purpose restriction is accomplished), net assets with donor restrictions are reclassified as net assets without donor restrictions and reported in the consolidated statements of activities as net assets released from restrictions. Donor restricted contributions whose restrictions are met within the same year as received are reflected as contributions without donor restrictions in the accompanying financial statements.

Cost Allocation

The costs of providing the various activities have been summarized on a functional basis in the consolidated statements of activities based on management's estimation of actual service utilization.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Income Taxes

The Organization and its wholly-owned subsidiaries CFCC and FINANTA are exempt from income taxes under the provision of the Internal Revenue Service Code Section 501(c)(3). As such, the Organization is exempt from income taxes on related income pursuant to Section 509(a) of the Code.

The Organization has evaluated the tax filings for the open tax years for uncertain tax positions. The tax years subject to examination by the Internal Revenue Service are 2020, 2021, 2022, and 2023. The tax years subject to examination by the state jurisdiction are unlimited.

Advertising

The Organization expenses advertising costs as they are incurred. Advertising costs expensed for the years ended June 30, 2024 and 2023, were \$66,274 and \$90,387, respectively.

Management's Evaluation of Subsequent Events

Events that occurred subsequent to June 30, 2024, have been evaluated by the Organization's management through October 17, 2024, which is the date the financial statements were available to be issued.

Revenue and Revenue Recognition

The Organization recognizes grants and contributions when cash, securities or other assets; an unconditional promise to give; or a notification of a beneficial interest is received. Conditional promises to give - that is, those with a measurable performance or other barrier and a right of return - are not recognized until the conditions on which they depend have been met.

Grants and contributions of \$7,709,903 at June 30, 2023 were not recognized in the accompanying consolidated statement of activities because the conditions on which they depend had not yet been met. These conditions were met during the year ended June 30, 2024. There were no conditional grants and contributions at June 30, 2024.

The Organization has certain contract-based revenues related to its New Markets Tax Credit entities (Note 11). Revenues from asset management fees for these entities are recognized over the asset management period. Audit and exit fees from the New Market Tax Credit entities are recognized at the point in time that performance obligations are fully satisfied.

A portion of the Organization's revenue is derived from cost-reimbursable contracts and grants, which are conditioned upon certain performance requirements and/or the incurrence of allowable qualifying expenses. Amounts received are recognized as revenue when the Organization has incurred expenditures in compliance with specific contract or grant provisions. Amounts received prior to incurring qualifying expenditures are reported as refundable advances in the statement of financial position. The Organization is eligible to receive cost-reimbursable grants of \$25,000 that had not been recognized at June 30, 2023 because related costs had not yet been incurred. The Organization has no cost-reimbursable grants at June 30, 2024. The Organization has received no advance payments for cost-reimbursable grants.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 3: CASH AND CASH EQUIVALENTS

The Organization maintains its cash balances in several financial institutions. The balances are insured by the Federal Deposit Insurance Corporation (FDIC) up to \$250,000. The amounts reflected per the consolidated statements of financial position may vary from the amounts recognized by the financial institution due to reconciling items. The Organization's cash balance in excess of FDIC insurance limits at June 30, 2024 and 2023, is \$22,583,067 and \$26,096,730, respectively. During the years ended June 30, 2024 and 2023, the Organization elected to invest its excess cash in money market accounts, U.S. Treasury Notes, and Insured Cash Sweeps for FDIC eligibility beyond \$250,000. Management believes that the Organization is not exposed to significant credit risk on cash and cash equivalents.

At June 30, 2024 and 2023, cash and cash equivalents includes \$8,242,573 and \$8,163,973, respectively, in restricted cash.

Certain grant and loan agreements require that the Organization maintain cash in separate bank accounts.

NOTE 4: LOANS RECEIVABLE

Loans receivable are for loans made to small businesses, developers of affordable housing, community-based organizations, individuals, and other entities. The receivables are recorded at their face value. Interest, fees and related costs are recognized on the accrual basis through June 30. Below is a schedule summarizing loans receivable at June 30:

	2024 Balance	2023 Balance
Loans Receivable for economic development, housing and other community projects: Interest-bearing loans receivable with various maturity dates, secured by business assets, mortgage interest and/or personal guarantees of owners.	\$ 126,345,342	\$ 99,123,472
Less loan loss reserve	11,187,016	11,002,942
Total loans receivable, net	115,158,326	88,120,530
Current portion	20,536,498	28,063,381
Long Term	\$ 94,621,828	\$ 60,057,149

Maturities of loans receivable are as follows at June 30:

2025	\$ 20,536,498
2026	12,945,225
2027	9,835,980
2028	13,737,678
2029	21,942,822
Thereafter	47,347,139
Total	\$ 126,345,342

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 4: LOANS RECEIVABLE (Continued)

As part of the Organization's mission to deliver financial products to low and moderate income communities and individuals, the Organization strives to ensure that it builds a base by which funds can be loaned on a revolving basis. To achieve that purpose, the Organization has instituted a risk rating system to categorize the quality of loans. The risk rating process is conducted at the time of application for new or increased loan facilities, as part of the annual loan review process, and in any situation where new information about a loan comes to light that may have a material impact on its quality. To grade loans, the Organization takes into account the borrower's debt service coverage, personal credit, collateral, personal debt ratio, management experience and adjusted net worth.

Changes to the loan loss reserve for the years ended June 30, 2024 and 2023, are as follows:

	2024	2023
Beginning Balance	\$ 11,002,942	\$ 9,751,953
Provision for loan losses	1,260,119	2,192,889
Special provision for anticipated COVID-19 losses	(571,790)	(985,277)
Recoveries for amounts previously charged off	168,282	200,133
Write-off of uncollectible loans	(672,537)	(156,756)
Ending Balance	\$ 11,187,016	\$ 11,002,942

As of June 30, 2024 and 2023, all outstanding loans were accruing interest.

In the fiscal years ending June 30, 2024 and 2023, the Organization did not sell any of its SBA 7(a) Guaranteed Loans on the open market.

The Organization utilizes an internal classification system as a means of reporting problem and potential problem loans. Under its risk rating system, the Organization classifies problem and potential problem loans as "High", "Substandard" and "Doubtful".

Substandard loans include those characterized by the distinct possibility that the Organization will sustain some loss if the deficiencies are not corrected. Loans classified as Doubtful have all the weaknesses inherent in those classified as Substandard with the added characteristic that the weaknesses present make collection or liquidation in full, on the basis of currently existing facts, conditions and values, highly questionable and improbable.

Loans that do not currently expose the Organization to sufficient risk to warrant classification in one of the aforementioned categories but possess an element of weakness that deserves management's close attention are deemed to be High. Risk ratings are updated any time the situation warrants.

Due to the effects of transition to post-pandemic conduct of business on the Organization's General Portfolio, management had deemed it prudent to decrease its specific loan loss reserves for potential future losses that may occur once the various grant and deferment programs that are currently benefiting borrowers expire. The Organization has decreased the amount reserved by \$571,790 in fiscal year 2024, after a reduction of \$985,277 in fiscal year 2023.

FINANTA's loan loss reserve methodology provides 15% reserves for Small Business Loans, a range of 1% through 10% reserves for General Portfolio Loans, and 1% reserves for Project Reinvestment Mortgages and FINANTA Housing loans and loans funded with specific program grants. This methodology provides sufficient reserves to cover any impaired loans.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 4: LOANS RECEIVABLE (Continued)

The General Portfolio as of June 30, 2024, includes \$281,252 of Paycheck Protection Program (PPP) loans and \$290,209 of Lancaster City Emergency Fund (LCEF) loans. The General Portfolio as of June 30, 2023, includes \$311,977 of Paycheck Protection Program (PPP) loans and \$411,850 of Lancaster City Emergency Fund (LCEF) loans. Under the PPP loan program authorized by the Coronavirus Aid, Relief, and Economic Security Act (CARES Act), PPP loans are eligible for up to 100% forgiveness by the U.S. Small Business Administration (SBA), subject to approval by the SBA. The LCEF loans are subject to an agreement with another organization that the first losses on the LCEF loans will be covered by the other organization, up to an aggregate amount of \$250,000. The PPP and LCEF loans were reserved at 1% for loan loss calculation purposes to reflect additional anticipated levels of loss on PPP loans that are not forgiven and losses on LCEF loans above the coverage level provided by Lancaster City.

The following tables present the risk category of loan segment based on the most recent analysis performed and the contractual aging as of June 30, 2024 and 2023:

2024	General Portfolio	High	Substandard	Doubtful	Total
Community First Fund					
Current	\$ 41,601,293	\$ 32,772,481	\$ 17,717,785	\$ 13,724,624	\$ 105,816,183
PPP and LCEF Loans	186,291	11,564	-	373,606	571,461
Past Due 31 - 60 days	41,848	113,573	42,152	319,590	517,163
Past Due 61 - 90 days	272,701	250,484	30,496	126,065	679,746
Past Due > 90 Days	634,797	1,500,728	113,712	2,697,054	4,946,291
Total Gross Loans	42,736,930	34,648,830	17,904,145	17,240,939	112,530,844
Provision for loan losses	(1,007,409)	(1,236,333)	(907,551)	(2,122,033)	(5,273,326)
Provision for COVID-19 losses	(5,427,664)	-	-	-	(5,427,664)
Total provision for loan losses	(6,435,073)	(1,236,333)	(907,551)	(2,122,033)	(10,700,990)
Loans receivable, net of loan loss reserve	\$ 36,301,857	\$ 33,412,497	\$ 16,996,594	\$ 15,118,906	\$ 101,829,854

2024	General Portfolio	SBA Loans	Project Reinvestment	FINANTA Housing	Total
FINANTA					
Current	\$ 5,591,933	\$ -	\$ 3,244,496	\$ 3,135,999	\$ 11,972,428
Past Due 31 - 60 days	550,033	-	-	-	550,033
Past Due 61 - 90 days	420,966	-	-	112,363	533,329
Past Due > 90 Days	748,174	-	10,534	-	758,708
Total Gross Loans	7,311,106	-	3,255,030	3,248,362	13,814,498
Total Provision for Loan Losses	(421,201)	-	(32,446)	(32,379)	(486,026)
Loans receivable, net of loan loss reserve	\$ 6,889,905	\$ -	\$ 3,222,584	\$ 3,215,983	\$ 13,328,472

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 4: LOANS RECEIVABLE (Continued)

2023	General Portfolio	High	Substandard	Doubtful	Total
Community First Fund					
Current	\$ 52,717,164	\$ 13,154,235	\$ 12,007,627	\$ 1,779,955	\$ 79,658,981
PPP and LCEF Loans	723,827	-	-	-	723,827
Past Due 31 - 60 days	130,256	24,276	36,660	-	191,192
Past Due 61 - 90 days	10,400	-	80,788	-	91,188
Past Due > 90 Days	6,636	-	2,082,800	329,459	2,418,895
Total Gross Loans	53,588,283	13,178,511	14,207,875	2,109,414	83,084,083
Provision for Loan Losses	(1,642,478)	(658,926)	(1,065,591)	(1,379,263)	(4,746,258)
Provision for COVID-19 Losses	(5,427,664)	-	-	-	(5,427,664)
Total Provision for Loan Losses	(7,070,142)	(658,926)	(1,065,591)	(1,379,263)	(10,173,922)
Loans receivable, net of loan loss reserve	\$ 46,518,141	\$ 12,519,585	\$ 13,142,284	\$ 730,151	\$ 72,910,161
FINANTA					
Current	\$ 6,756,881	\$ 687,181	\$ 3,318,000	\$ 3,749,802	\$ 14,511,864
Past Due 31 - 60 days	394,538	21,275	-	-	415,813
Past Due 61 - 90 days	12,250	27,812	-	112,000	152,062
Past Due > 90 Days	911,632	48,018	-	-	959,650
Total Gross Loans	8,075,301	784,286	3,318,000	3,861,802	16,039,389
Total Provision for Loan Losses	(639,579)	(117,643)	(33,180)	(38,618)	(829,020)
Loans receivable, net of loan loss reserve	\$ 7,435,722	\$ 666,643	\$ 3,284,820	\$ 3,823,184	\$ 15,210,369

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 5: GRANTS, GRANTS RECEIVABLE, AND DEFERRED REVENUE

The Organization receives grants from various sources to support its program and related administrative expenses. These grants are accounted for on an individual basis and summarized into the following totals at June 30:

	2024	2023
Total Grant Revenue	\$ 13,180,820	\$ 12,054,090
Grants Receivable	\$ 667,444	\$ 1,265,673
Deferred Revenue	\$ 63,569	\$ 7,709,903
Grants to Others	\$ 1,211,117	\$ 644,925

NOTE 6: NOTES PAYABLE

The following table summarizes notes payable as of June 30, 2024 and 2023:

	2024	2023
Corporations, Foundations, and Intermediaries, unsecured	\$ 11,568,281	\$ 10,797,667
Financial Institutions, unsecured	39,174,776	28,556,245
Individuals, unsecured	503,875	495,844
Religious Organizations, unsecured	805,000	885,000
Government Organizations, unsecured	1,139,294	1,683,687
Government Organizations, secured by loans receivable and cash	2,340,564	2,414,570
Bond Guarantee Program Borrowings, secured by loans	6,884,265	7,106,028
Equity Equivalent Investment	26,919,155	19,969,993
Mortgages Payable, secured by building	1,008,274	1,043,728
Total Promissory Notes	90,343,484	72,952,762
Less Current Portion	<u>16,153,846</u>	<u>7,696,869</u>
Long-Term Portion	<u>\$ 74,189,638</u>	<u>\$ 65,255,893</u>

The Organization has lines of credit with various banks totaling \$14,000,000 and \$17,256,939 at June 30, 2024 and 2023, respectively, to be drawn as needed for working and interim loan capital, with interest rates ranging from SOFR (LIBOR equivalent) plus 2.25% to prime plus 1.00%. Certain lines of credit have interest rates subject to "floors" between 3.75% and 4.50%. The lines of credit are subject to review on an annual basis and are unsecured. As of June 30, 2024 and 2023, no amounts were outstanding on the lines of credit. The open lines of credit are with U.S. Bank, Bank of America, Northwest Bank, The Bancorp Bank, Wells Fargo, and Univest Bank.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 6: NOTES PAYABLE (Continued)

The Organization's outstanding promissory notes with Corporations, Foundations, Intermediaries, Financial Institutions, Religious Organizations, Individuals and Government Organizations have interest rates ranging from 0% to 5.35% with various maturity dates to December 2046. Certain promissory notes contain covenants with which the Organization must comply.

The Organization had Promissory Notes totaling \$26,919,155 and \$19,969,993 at June 30, 2024 and 2023, respectively, that can be classified as Equity Equivalent Investments. Equity Equivalent Investments differ from Notes Payable in that they have an automatic renewal option at the end of their first term and the investments are subordinate in repayment to other creditors.

Maturities of notes payable are as follows at June 30:

2025	\$ 16,153,846
2026	9,208,127
2027	19,763,747
2028	3,809,259
2029	11,873,584
Thereafter	29,534,921
<u>Total</u>	<u>\$ 90,343,484</u>

NOTE 7: NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions at June 30 consist of the following:

	2024	2023
EBBC - Lending	\$ -	\$ 13,541
Lancaster County Housing and Redevelopment Authority, Lancaster County Microloan Fund	283,146	283,146
FINANTA - Neighborworks Closing Assistance	3,370,500	3,370,500
<u>Total net assets with donor restrictions</u>	<u>\$ 3,653,646</u>	<u>\$ 3,667,187</u>

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 8: LEASES

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The Organization has entered into lease agreements for office equipment and office space. Lease terms for office equipment extend through May 1, 2028 while lease terms for office space extend through November 30, 2027.

Additional lease disclosure information for the years ended June 30, 2024 and 2023 is summarized below:

	2024	2023
Finance lease expense		
Amortization of right-of-use assets (included in depreciation)	\$ 6,981	\$ 6,981
Interest on lease liabilities	453	648
Operating lease expense	76,758	62,849
Variable lease expense	-	-
Operating cash flows from finance leases	469	602
Right-of-use assets obtained in exchange for new operating lease liabilities	149,798	238,868
Financing cash flows from finance leases	6,887	6,754
Operating cash flows from operating leases	71,523	61,039
Weighted-average remaining finance lease term (years)	1.75	2.75
Weighted-average remaining operating lease term (years)	2.35	3.30
Weighted-average discount rate for finance leases	2.88%	2.88%
Weighted-average discount rate for operating leases	5.68%	2.88%

Maturities of the Organization's finance and operating leases for the years ended June 30 are summarized in the table below:

	Operating	Finance
2025	\$ 140,386	\$ 7,355
2026	110,162	5,517
2027	45,989	-
2028	5,793	-
Total undiscounted cash flows	302,330	12,872
Less: Present value discount	(18,910)	(304)
Total lease liabilities	\$ 283,420	\$ 12,568

NOTE 9: RETIREMENT PLAN

Effective May 2001, the Organization instituted a 403(b) retirement plan covering all full-time employees. Employees are eligible to participate immediately upon hiring. Total retirement plan match expense for the Organization's 403(b) plan in 2024 and 2023 was \$153,230 and \$131,653, respectively.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 10: RELATED PARTY TRANSACTIONS

Because of the specific nature of the non-profit industry in which the Organization operates, the officers of Community First Fund are members of the board of directors of other organizations that perform similar missions. Some of the board members or officers of other organizations are members of Community First Fund's board of directors. Staff members are encouraged to serve their communities as volunteers and board members of other organizations. From time to time, Community First Fund may deal and conduct transactions with these organizations in the course of normal operations.

In some cases, an officer or staff member may be related to a business owner that deals and conducts transactions with the Organization. In such events, each transaction is approved by a special committee of officers and board members unrelated to the transactions. CFF requires that such transactions be conducted in accordance with existing policy and on terms that are substantially similar to terms offered to other borrowers.

Related party transactions with officers of the Organization during the years ended June 30, 2024 and 2023, are as follows:

The Organization is a founding member of the Pennsylvania CDFI Network (Network), a 501(c)(3) organization, formerly known as the Pennsylvania Microenterprise Coalition (the Coalition). The Coalition operated as an all-volunteer organization with a mission to advance micro-lending in Pennsylvania; members are predominately non-profit CDFIs. The Network expanded its mission to support additional CDFIs focused on small business lending in the Commonwealth and in May 2020 obtained funding from the state's Department of Community and Economic Development to administer its COVID-19 Relief Pennsylvania Statewide Small Business Assistance program. An officer of the Organization is the Chairperson of the Network. For the year ended June 30, 2023, the Organization received \$5,814,163 in grants from the Network, of which, \$3,253,343 had been recognized and \$2,793,761 had been deferred until conditions were met. The remaining \$2,793,761 of grant revenue was recognized during the year ended June 30, 2024. For the year ended June 30, 2024, the Organization received \$331,000 in grants from the Network, the entirety of which has been recognized as income. There is a verbal agreement in place where Community First Fund provides operational services that the Network then approves. Community First Fund received \$30,000 in management fees in 2023. There were no management fees collected from the network in 2024 in relation to services provided during the year.

Effective January 2022, the Organization entered into both management fee and rental fee agreements with CFFFCU. Due to common management and visibility in the community, grant amounts are sometimes pledged through the Organization on behalf of the credit union. The management fee agreement calls for CFF to provide the following services; management in general; finance and accounting; liquidity and cash balances management; loan underwriting; loan servicing and portfolio management. Rental income and management fee income amounted to \$41,615 and \$355,323, respectively, as of June 30, 2024. Rental income and management fee income amounted to \$41,615 and \$160,660, respectively, as of June 30, 2023. Both rental income and the management fee were forgiven in total for the six months from January 1, 2023 to June 30, 2023 as contributions in kind. During the years ended June 30, 2024 and 2023, the Organization recorded donor-restricted contributions for capitalization of CFFFCU of \$1,287,500 and \$489,100, respectively. There is a receivable from CFFFCU due to the Organization in the amount of \$533,551 and \$986,146, as of June 30, 2024 and 2023, respectively. The Organization has provided grants to CFFFCU in the amount of \$75,000 and \$62,500 during the years ended June 30, 2024 and 2023, respectively. Effective June 30, 2021, \$7,300,000 was designated to the Credit Union to be paid over five year installments. There is \$1,862,501 and \$4,725,000 due to CFFFCU in relation to a grant that was designated to the Credit Union at June 30, 2024 and 2023, respectively.

COMMUNITY FIRST FUND AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2024 AND 2023

NOTE 11: NEW MARKETS TAX CREDIT ("NMTC") PROGRAM

The Organization was awarded NMTC allocations of \$15,000,000, \$30,000,000, \$45,000,000 and \$30,000,000 in May 2013, June 2015, November 2016 and November 2023, respectively, and established twenty wholly-owned subsidiary Pennsylvania limited liability companies (LLCs). As of June 30, 2024, 7 of the LLCs (CFF Sub CDE 9; CFF Sub CDE 11; CFF Sub CDE 12 LLC, CFF Sub CDE 13 LLC and CFF Sub CDE 14 LLC, CFF Sub CDE 15 LLC, CFF Sub CED 17 LLC) have been capitalized and are active. The Organization serves as managing member of the active LLCs with a 0.01% interest and unrelated investors as regular members with 99.99% interest. These LLCs have been consolidated into the investor members' financial statements under accounting guidance for consolidations in ASC 810-20-25. The equity investment balances in the active LLCs are not significant and are included in cash and cash equivalents. The inactive LLCs have no activity and are consolidated as subsidiaries of Community First Fund.

The active Sub CDE LLCs have made qualified low-income community investments (QLICs) within the parameters of the NMTC program and IRC Section 45D. Community First Fund entered into agreements with investor members who provided \$90,000,000 in investments to fund the fourteen (14) NMTC Projects. The CFF Sub CDE 7, CFF Sub CDE 8 and CFF Sub CDE 10 investments unwound in fiscal year 2024, resulting in recognition of \$559,533 in exit fee income.

By making QLICs, the Sub CDE LLCs enable investor members to claim approximately \$35,100,000 of NMTC over a seven-year credit period.

NOTE 12: LIQUIDITY

The Organization's financial assets available at June 30 are as follows:

	2024	2023
Cash and cash equivalents	\$ 32,472,674	\$ 34,300,390
Grants receivable	667,444	1,265,673
Contract receivables	577,357	1,001,861
Loans receivable, net	20,536,498	28,063,381
Interest and loan fees receivable	1,342,540	951,626
Investments	4,390,601	17,202,571
<u>Financial assets at year-end</u>	<u>\$ 59,987,114</u>	<u>\$ 82,785,502</u>

The following reflects the Organization's financial assets at June 30 reduced by amounts not available for general use because of contractual or donor-imposed restrictions:

	2024	2023
Financial assets at year-end	\$ 59,987,114	\$ 82,785,502
Less assets not available due to		
Contractual limitations	(2,500,000)	(200,000)
Undisbursed loans receivable	(15,023,851)	(8,535,811)
Purpose restrictions	(3,653,646)	(3,667,187)
<u>Financial assets available to meet cash needs for general expenditure within one year</u>	<u>\$ 38,809,617</u>	<u>\$ 70,382,504</u>